

Executive Memo — Collections Recovery

Decision

****The reported 11% month-on-month recovery improvement is not supported as evidence of underlying collection effectiveness. Do not commit the INR 10 Cr investment on current observational evidence; run a controlled targeting experiment first.****

1. What happened?

Gross successful-payment recovery remained broadly flat through complete January–July months. Recovery from accounts actually in the month-start working population was INR 6,241 → INR 6,230/account (approximately –0.2% Jan→Jul). January-mix standardized recovery and fixed-January-cohort recovery are also approximately flat.

2. Why?

The working population contracts while the payment numerator includes accounts outside that month-start population. By July, approximately INR 6.49 Cr (34.6%) of gross recovery came from accounts outside the month-start working population. A prior rule permanently excluded accounts after a first terminal status even though later activity exists; the corrected rule uses latest status as of month-start.

3. Confidence

****FACT:**** gross recovery is broadly flat; duplicate payment IDs exist; mix-standardized and fixed-cohort recovery are flat; no clean targeting intervention/control is identifiable. ****STRONG EVIDENCE:**** the headline recovery/account improvement is primarily a denominator/population-alignment artifact. ****CORRELATION:**** DPD, geography, loan type and intervention exposure differ in recovery. ****HYPOTHESIS:**** exact cause of stepwise monthly jumps remains unresolved.

4. What should we do?

Do not scale telephony, headcount, AI voice, targeting, WhatsApp/digital or field operations solely from this historical data. Run a controlled targeting experiment, randomized within DPD × risk × geography × loan type. Primary KPI: incremental recovered INR per eligible account.

5. Expected financial impact

A defensible INR 10 Cr ROI cannot currently be calculated because the data lacks both a causal incremental-recovery estimate and intervention-specific cost inputs. The financially defensible action is to buy information through a controlled pilot before committing capital.